

Applied Materials Stock Pitch

Status: Watchlist research memo. Educational only, not investment advice.

View

Applied Materials merits close study because it serves technical process steps that become more demanding as chips adopt 3D structures, advanced packaging, and tighter process-control requirements. The current conclusion is Watchlist. Operating evidence is strong, but a defensible Long or Short call requires a current valuation against a cycle-normalised earnings base.

Current operating evidence

Applied reported Q3 FY2026 revenue of \$9.12bn, GAAP gross margin of 50.3%, GAAP operating income of \$3.08bn, and GAAP EPS of \$3.17. In FY2025, total revenue was \$28.37bn, including \$20.80bn from Semiconductor Systems and \$6.39bn from Applied Global Services. Operating cash flow was \$7.96bn and capex was \$2.26bn.

Why the business can matter

The 2025 10-K describes a broad semiconductor equipment portfolio across patterning, transistor and interconnect fabrication, process control, and advanced packaging. Revenue exposure spans foundry and logic, DRAM, NAND, and non-leading-edge applications. AGS adds services, spares, and factory-automation software linked to the installed base.

Catalysts to test

1. Sustained spending on advanced logic, high-bandwidth memory, and advanced packaging. 2. Stronger mix or share in process-control and materials-engineering steps. 3. Service growth cushioning equipment cyclicality.

Disconfirming risks

Capex cuts from memory or foundry customers, trade and export restrictions, customer concentration, technological substitution, and lower returns on newly built capacity would weaken the premise. The company itself describes the industries it serves as volatile and difficult to predict.

Valuation framework

DCF inputs to complete

Start from FY2025 operating cash flow of \$7.96bn less capex of \$2.26bn, then normalise working capital and investment needs through the cycle. Forecast revenue by Semiconductor Systems, AGS, and Corporate and Other. Sensitise revenue growth, operating margin, tax, capital intensity, WACC, and terminal growth. Do not use a single-point target as the conclusion.

Trading-comparables work

Compare Applied with ASML, Lam Research, KLA, and Tokyo Electron on EV/EBIT, P/E, revenue growth, gross margin, operating margin, free-cash-flow conversion, and exposure to leading-edge logic, memory, process control, and services. Document fiscal-year and accounting differences before comparing multiples.

What the share price must be implying

The next research step is to use the current equity value and net-cash position to back-solve what growth and margin assumptions the market price requires. The pitch becomes differentiated only if that implied expectation differs materially from the analyst's bottom-up, evidence-supported model.

Primary sources

Applied Materials, Q3 FY2026 Results, 13 August 2026:

<https://ir.appliedmaterials.com/news-releases/news-release-details/applied-materials-announces-third-quarter-2026-results>. Applied Materials, FY2025 Form 10-K: <https://www.sec.gov/Archives/edgar/data/6951/000162828025056742/amat-20251026.htm>.